CFA Level I Mock Exam 7.1 - Questions

Choose one answer for each question.

Question 1

Regarding ethical standards, which of the following statements is least accurate?

A. Ethical conduct goes beyond what is legally required

B. Good ethical judgment requires minimizing risks, excluding reputational risk

C. To act ethically, individuals need to be able to think through the facts and make good choices even in the absence of clear laws

Question 2

According to the recommended procedures for compliance with the Standard relating to additional compensation arrangements, a member should make an immediate written report specifying the proposed compensation arrangements:

A. only to her supervisor.

B. only to her supervisor and to her firm's compliance officer.

C. to her supervisor, to her firm's compliance officer, and to her clients.

Question 3

According to the Standards, members are required to disclose conflicts of interest to:

A. clients only.

B. clients and employers only.

C. clients, employers, and prospective clients.

Question 4

A member is required to keep information confidential relating to which to the following?

A. Only prospective clients the member met within the last year

B. Only former clients who left the firm more than seven years ago

C. Both prospective clients the member met within the last year and former clients who left the firm more than seven years ago

Question 5

Vanraj Shah has just finished taking the Level II CFA exam for the second time. To protect the integrity of the exam, Gupta is careful not to discuss the exam questions with other candidates. Shah calls his friend, a member, and contrasts his two attempts by highlighting that there were many calculation questions on derivatives in the first instance and none in the second. Later, in a public blog on investment education, Shah shares his strong disagreement regarding CFA Institute shifting to computer-based testing. Shah has violated the Standard(s) relating to:

A. conduct as participants in CFA Institute programs only.

B. reference to CFA Institute, the CFA designation, and the CFA program only.

C. both conduct as participants in CFA Institute programs and reference to CFA Institute, the CFA designation, and the CFA program.

Question 6

To be consistent with the Standard relating to communication with clients and prospective clients, a member:

A. must share in written form investment recommendations with clients.

B. should notify clients that additional information is available if a recommendation is shared in capsule form.

C. is permitted to share investment recommendations solely using a social media service to which most clients have access.

Question 7

Michael Cane, CFA, is an investment manager. Cane's proxy voting policy includes a provision that voting proxies may not be required in all instances if they do not benefit clients. The proxy voting policy is disclosed to his clients only upon request. Has Cane most likely violated the Standard relating to loyalty, prudence and care?

A. Yes, only because the voting of proxies is required in all instances

B. Yes, only because the proxy voting policy is disclosed to his clients only upon request

C. Yes, both because the voting of proxies is required in all instances and because the proxy voting policy is disclosed to his clients only upon request

Question 8

Which of the following member actions violates the Standard relating to misconduct? • Action 1: Declaring personal bankruptcy because of a large loss from investing in a startup company. • Action 2: Allocating for her personal account shares from an oversubscribed IPO that is suitable for her firm's clients

A. Action 1 only

B. Action 2 only

C. Both Action 1 and Action 2

Question 9

Which of the following is a recommended procedure for compliance with the Standard relating to performance presentation? When presenting their firm's investment performance, members should:

A. present the performance using a single representative account.

B. maintain the data and records used to calculate the performance being presented.

C. exclude terminated accounts as part of performance history with a clear indication of when the accounts were terminated.

Question 10

Marcus Reid, CFA, uses the name "CFA expert" when posting comments on social media. During a conversation with a friend, Reid mentions, "I passed all three CFA exams in three consecutive years." Has Reid violated the Standards?

A. No

B. Yes, because he uses the name "CFA expert" when posting comments on social media

C. Yes, because he mentions, "I passed all three CFA exams in three consecutive years"

Question 11

Firms that claim compliance with the GIPS standards are required to:

A. include all fee-paying discretionary accounts in at least one composite.

B. determine which portfolio to include in a composite immediately after the performance reporting period has ended.

C. exclude the best-performing accounts and the worst-performing accounts when representing the performance of an investment strategy.

Question 12

Mabel Albright, CFA, resigns to work at a new firm. For her research report at the new firm, she re- creates the supporting records from her memory and uses the historical recommendations she made at her previous firm. Albright violates the Standards:

A. only by re-creating the supporting records from her memory.

B. only by using the historical recommendations at her previous firm.

C. both by re-creating the supporting records from her memory and by using the historical recommendations at her previous firm.

Question 13

Cynthia Garcia, CFA, is an investment advisor for Synergy Investment Partners (SIP). Her new client, John Hansen, has inherited a sizeable interest in his family's business. Before reviewing his financial situation, Garcia recommends Hansen diversify his portfolio by purchasing AAA-rated long-term corporate bonds, which Garcia has recommended to several other clients. She tells Hansen "You have no downside if you hold these bonds to maturity, they are AAA-rated." Has Garcia violated the Standards?

A. No

B. Yes, only the Standard relating to suitability

C. Yes, the Standard relating to suitability and the Standard relating to misrepresentation

Question 14

Thomas Turkman recently hired Georgia Viggen, CFA, as a portfolio manager for North South Bank. Although Viggen worked many years for a competitor, West Star Bank, the move was straightforward since she did not have a non-compete agreement with her previous employer. Once Viggen starts working for Turkman, the first thing she does is to bring a trading software package she developed and used at West Star to her new employer. Using public information, Viggen contacts all of her former clients to convince them to move with her to North South. Viggen also convinces one of the analysts she worked with at West Star to join her at her new employer. Viggen most likely violated the CFA Institute Code of Ethics and Standards of Professional Conduct concerning her actions involving:

A. clients.

B. the analyst.

C. trading software.

Question 15

David Jacobs, CFA, and Megan Amari, CFA, work for Global Investment Inc. and receive fees for client referrals. Prior to signing service agreements with clients, Jacobs informs his clients about the referral fee arrangement without providing an estimated dollar value. Amari discloses all details of the arrangement, including the estimated dollar value, to her clients only after the service agreements are signed. Who has violated the Standards?

A. Amari only

B. Jacobs only

C. Both Amari and Jacobs

Question 16

According to the GIPS standards, a firm must:

A. provide a GIPS composite report to all prospective clients.

B. include terminated composites on the firm's list of composite descriptions for at least seven years after the composite termination date.

C. attain compliance for a minimum of three years or since firm inception if the firm has been in existence for less than three years to initially claim compliance.

Question 17

Which of the following actions violate the Standard relating to market manipulation?

Action 1	Entering large buy and sell trades between multiple proprietary accounts of the firm with th intent to increase trading volume.	e
Action 2	Securing a dominant position in a financial instrument with an intent to influence the price of a related derivative.	
Action 3	Exploiting perceived market inefficiencies through aggressive trading strategies.	

A. Action 1 and Action 2 only

B. Action 1 and Action 3 only

C. Action 2 and Action 3 only

Question 18

According to the Standards, if a member cannot discharge supervisory responsibilities due to an inadequate compliance system, the member is:

A. only required to decline in writing to accept supervisory responsibility.

B. only required to report the inadequate compliance system to CFA Institute.

C. both required to decline in writing to accept supervisory responsibility and to report the inadequate compliance system to CFA Institute.

Question 19

Edo Ronde, CFA, an analyst for a hedge fund, One World Investments, is attending a key industry conference for the microelectronics industry. At lunch in a restaurant adjacent to the conference venue, Ronde sits next to a table of conference attendees and is able to read their nametags. Ronde realizes the group includes the president of a publicly traded company in the microelectronics industry, Fulda Manufacturing, a company Ronde follows. Ronde overhears the president complain about a production delay problem Fulda's factories are experiencing. The president mentions that the delay will reduce Fulda earnings more than 20% during the next year if not solved. Ronde relays this information to the portfolio manager he reports to at One World explaining that in a recent research report he recommended Fulda as a buy. The manager asks Ronde to write up a negative report on Fulda so the fund can sell the stock. According to the CFA Institute Code of Ethics and Standards of Professional Conduct Ronde should least likely:

A. revise his research report.

B. leave his research report as it is.

C. request the portfolio manager not act on the information.

Question 20

To be consistent with the Standard relating to diligence and reasonable basis, members who develop quantitative models should:

A. only understand the technical aspects of the products they provide to clients.

B. only ensure the models incorporate a wide range of possible input expectations.

C. both understand the technical aspects of the products they provide to clients and ensure the models incorporate a wide range of possible input expectations.

Question 21

According to the Standard relating to priority of transactions, members should:

A. preclear trades in fee-paying family accounts in which the member has no beneficial ownership.

B. direct their brokers to supply duplicate copies for all their personal securities transactions to their employers.

C. allocate shares to other clients before allocating shares to fee-paying family accounts in which the members do not have beneficial ownership.

Question 22

Riti Malhotra, CFA, is a research analyst covering the oil and gas sector. Malhotra visits a covered company's new oil refining facility. The company arranges a chartered flight as there are no commercial flights serving the location of the new refinery. Meals are also provided for by the company at a nearby hotel. Malhotra lets the company pay for the expenses. Has Malhotra violated the Standards?

A. No

B. Yes, the Standard relating to loyalty, prudence, and care

C. Yes, the Standard relating to independence and objectivity

Question 23

Which of the following statements relating to the GIPS standards is accurate?

Statement 1	Verification improves the consistency of a firm's GIPS-compliant presentations.
Statement 2	Verification provides assurance to clients that specific composite presentations made by a firm are accurate.

A. Statement 1 only

B. Statement 2 only

C. Both Statement 1 and Statement 2

Question 24

Tim Herndon, CFA, is a senior analyst working with Brad Welch, CFA, at a large brokerage firm. The two co-author all their research reports. Herndon comes to the belief that Welch is in violation of the Standard relating to diligence and reasonable basis. Herndon discusses his concerns with Welch, his supervisor, and the firm's compliance department. All three — Welch, his supervisor, and the compliance department — dismiss his concerns. Which of the following actions should Herndon most likely take to be consistent with the Standards?

A. Threaten to leave the firm

B. Continue discussing the matter with Welch

C. Have his name removed from further research reports

Question 25

According to the GIPS standards, all fee-paying discretionary accounts must be:

A. included in at least one composite.

B. aggregated into composites based on size.

C. assigned to composites on an ex-post basis.

Question 26

James Fung, CFA, is the CEO of Wholecare Pharmaceutical (WPC). WPC is in its final stages of clinical trials for developing a medicine to treat heart disease. Fung posts on social media that WPC is launching a new medicine for heart disease, knowing that the news will have a positive impact on WPC's stock price. Fung has violated the Standard(s) relating:

A. only to misrepresentation.

B. only to market manipulation.

C. both to misrepresentation and to market manipulation.

Question 27

Heidi Halvorson, CFA, is the Chief Investment Officer for Tukwila Investors, an asset management firm specializing in fixed-income investments. Tukwila is in danger of losing one of its largest clients, Quinault Jewelers, which accounts for nearly one third of its revenues. Quinault recently told Halverson that Tukwila would be fired unless the performance of Quinault's portfolio improves significantly. Shortly after this conversation, Halvorson purchases two corporate bonds she believes are suitable for any of her clients based upon third party research from a reliable and diligent source. Immediately after the purchase, one bond increases significantly in price while the other bond declines significantly. At the end of the day, Halvorson allocates the profitable bond trade to Quinault and the other bond to two of her largest institutional accounts. Halvorson most likely violated the CFA Institute Standards of Professional with regards to:

A. client suitability.

B. trade allocations.

C. third party research.

Question 28

If inventory is written down:

A. inventory turnover will be higher than if the write-down did not occur.

B. the net profit margin will be higher than if the write-down did not occur.

C. the interest coverage ratio will be higher than if the write-down did not occur.

Question 29

Which of the following ratios will most likely increase as a result of an inventory write-down?

A. Current ratio

B. Total asset turnover ratio

C. Receivables turnover ratio

Question 30

Which of the following best describes a lin-log model?

A. Y = b + b ln X i 0 1 i

B. ln Y = b + b X i 0 1 i

C. ln Y = b + b ln X i 0 1 i

Question 31

An analyst gathers the following information about a company:

Target D/E	0.80
Current D/E	0.65
Yield to maturity	4%

Target D/E	0.80
Cost of equity	9%
Tax rate	30%

The WACC to be used in financial analysis is closest to:

A. 6.24%.

B. 6.56%.

C. 6.78%.

Question 32

The returns of a fund are as follows: Year Return (%) 1 –20.60 2 15.00 3 0.50 4 9.80 5 4.60 The mean absolute deviation (MAD) of returns for the fund is closest to:

A. 9.53%.

B. 11.91%.

C. 13.69%.

Question 33

Ignoring income taxes, the recognition of an impairment loss on long-lived assets most likely results in a:

A. lower quick ratio.

B. higher total asset turnover ratio.

C. lower cash flow from operations.

Question 34

In jackknife resampling:

A. the results are similar for every resample.

B. the required number of repetitions is the same as in bootstrap resampling.

C. each subsequent resample has one less observation than the previous resample.

Question 35

Which of the following methods results in samples that are most representative of desired subgroups in a non-homogenous population?

A. Cluster sampling

B. Simple random sampling

C. Stratified random sampling

Question 36

An analyst gathers the following information about three portfolios:

	Portfolio X	Portfolio Y	Portfolio Z
Expected annual return	10%	12%	14%
Standard deviation of returns	12%	16%	20%

If the shortfall level is 5%, which portfolio has the largest safety-first ratio?

A. Portfolio X

B. Portfolio Y

C. Portfolio Z

Question 37

Which of the following ratios is most appropriate for evaluating a company's ability to meet short- term obligations?

A. Defensive interval

B. Financial leverage

C. Working capital turnover

Question 38

Which of the following is a secondary source of liquidity for a company?

A. Trade credit

B. Bank line of credit

C. Bankruptcy protection and reorganization

Question 39

An analyst gathers the following information about a company:

Cash flow from operating activities	€600,000
Preferred dividends declared and paid	€30,000
Total dividends declared and paid	€120,000
Number of common shares outstanding	100,000

The company did not issue or repurchase common shares during the year. If the company reports total dividends paid as cash flows used in operating activities, cash flow per share is:

A. €5.70.

B. €6.30.

C. €6.90.

Question 40

Which of the following methods is most appropriate to assess the impact of a geopolitical risk?

A. Groupthink

B. Scenario analysis

C. Linear quantitative modeling

Question 41

Credit cycles:

A. can amplify business cycles.

B. are defined as fluctuations in real GDP.

C. tend to be shorter than business cycles.

Question 42

An analyst gathers the following information about a company:

ROE	12%
ROA	8%
Total asset turnover	2.0
Tax burden	0.4
Interest burden	0.8

Pretax margin is:

A. 10.0%.

B. 12.5%.

C. 15.0%.

Question 43

An analyst gathers the following information about an investment:

Initial investment amount	$100
Value at the end of Year 1	$90
Additional amount invested at the beginning of Year 2	$10
Value at the end of Year 2	$110

The annualized time-weighted rate of return over the 2-year period is closest to:

A. −0.5%.

B. 0.0%.

C. 4.9%.

Question 44

If a paired comparison test of mean differences supports rejecting the null hypothesis, then the:

A. difference in means is not statistically significant.

B. independence of the samples is statistically significant.

C. standard error of the mean differences is low relative to the sample mean difference.

Question 45

Which of the following statements is most accurate? According to Modigliani–Miller Proposition I without taxes:

A. firm value can be created by changing a company's capital structure.

B. any increase in the cost of equity must exactly offset the greater use of lower cost debt.

C. equity holders demand a higher return as leverage increases in order to offset increased risk.

Question 46

In capital investment decisions, project sequencing is most likely a type of:

A. timing option.

B. flexibility option.

C. fundamental option.

Question 47

Under IFRS, reversals of impairments of long-lived assets are allowed:

A. for previously recognized impairment losses only.

B. if the recoverable amount exceeds the previous carrying amount.

C. for assets held for sale only.

Question 48

For a manufacturing company reporting under US GAAP, which of the following is classified as an operating activity on the statement of cash flows?

A. Dividends paid

B. Purchase of treasury stock

C. Purchase of trading securities

Question 49

Which pricing model combines multiple products so that customers are incentivized to buy them together?

A. Bundling

B. Tiered pricing

C. Value-based pricing

Question 50

Which of the following strategies is least likely to be used by shareholder activists?

A. Initiating a proxy battle

B. Implementing a poison pill

C. Filing a shareholder derivative lawsuit

Question 51

A well-defined supply function is most likely available to:

A. a monopolist.

B. a firm operating in perfect competition.

C. a firm operating in monopolistic competition.

Question 52

An analyst gathers the following information about three companies in the same industry but at different stages of their life cycles:

	Year 1 Revenue (in $ Millions)	Year 2 Revenue (in $ Millions)	Year 3 Revenue (in $ Millions)	Year 3 Debt/Capital
Company 1	10	11	9	0%
Company 2	30	36	44	8%
Company 3	100	95	97	25%

Based only on this information, the company with the greatest capacity to absorb additional leverage in Year 4 is most likely:

A. Company 1.

B. Company 2.

C. Company 3.

Question 53

An analyst gathers the following exchange rate information:

USD/EUR spot rate	1.0351
1-week USD/EUR forward points	–1.1

USD/EUR is the amount of USD per 1 EUR The 1-week USD/EUR forward rate is closest to:

A. 1.02410.

B. 1.03400.

C. 1.03499.

Question 54

A sign of expansionary fiscal policy is a(n):

A. increase in indirect taxes.

B. increase in the budget deficit.

C. reduction in reserve requirements for banks.

Question 55

An investor requiring $10,000 in ten years' time has $7,500 to invest today and has access to the following two accounts:

	Stated Annual Interest Rate	Compounding Frequency
Account 1	3.0%	Quarterly
Account 2	2.9%	Daily

Which of the accounts will allow the investor to achieve their goal?

A. Account 1 only

B. Account 2 only

C. Both Account 1 and Account 2

Question 56

Which of the following areas is most likely to apply natural language processing?

A. Data encryption

B. Compliance functions

C. Analysis of structured data

Question 57

The following 10 observations are a sample drawn from a normal population: 25, 20, 18, −5, 35, 21, −11, 8, 20, and 9. The mean of the sample is closest to:

A. 14.00.

B. 15.56.

C. 17.20.

Question 58

The arithmetic and geometric mean are calculated for the same data. If there is variability in the data, compared with the arithmetic mean, the geometric mean will most likely be:

A. smaller.

B. equal.

C. greater.

Question 59

A company's interest payments are fully tax deductible. When tax rates increase, the company's cost of debt:

A. decreases.

B. remains the same.

C. increases.

Question 60

If a company's receivables turnover ratio is equal to its payables turnover ratio, the company's cash conversion cycle is equal to its number of days of:

A. payables.

B. sales outstanding.

C. inventory on hand.

Question 61

In a fixed parity currency regime, excess private demand for the domestic currency:

A. implies a depleting stock of foreign exchange reserves.

B. makes no implication about the country's foreign exchange reserves.

C. implies a growing stock of foreign exchange reserves.

Question 62

In a period of rising prices and stable inventory quantities, the value of ending inventory will most closely reflect current replacement value under which of the following inventory valuation methods?

A. FIFO

B. LIFO

C. Weighted average cost

Question 63

An analyst gathers the following exchange rate information:

	Spot rate	Forward rate
AUD/USD	1.3889	1.3195
AUD/EUR	1.6393	1.4875

AUD/USD is the amount of AUD per 1 USD AUD/EUR is the amount of AUD per 1 EUR The USD is expected to depreciate against:

A. the AUD only.

B. the EUR only.

C. both the AUD and the EUR.

Question 64

All else being equal, an increase in the central bank's policy rate most likely puts downward pressure on domestic inflation by:

A. increasing consumption growth.

B. improving investors' confidence.

C. strengthening the country's currency.

Question 65

An analyst is reviewing the property, plant, and equipment disclosure related to a company's warehouse. Under the revaluation model, the analyst would least likely be able to determine:

A. the original date of acquisition.

B. how the fair value was obtained.

C. the carrying amount under the cost model.

Question 66

A crucial requirement for a central bank to be effective is to:

A. maintain reasonable inflation targets.

B. maintain independence from the government.

C. preserve the confidentiality of its economic views.

Question 67

In ESG factor analysis, a company's ownership of stranded assets is most likely considered a(n):

A. environmental risk.

B. social risk.

C. governance risk.

Question 68

A company's cash contribution to its defined contribution pension plan is recorded on the company's statement of cash flows as a(n):

A. operating cash outflow.

B. investing cash outflow.

C. financing cash outflow.

Question 69

An analyst gathers the following common-size income statements for three companies in the same industry.

	Company X	Company Y	Company Z
Revenue	100%	100%	100%
Cost of goods sold	65	50	30
Administrative expenses	20	20	20
Research and development	0	5	30
Advertising expenses	5	15	10
Operating profit	10	10	10

Based on this information, which company is most likely to have a technically superior product?

A. Company X

B. Company Y

C. Company Z

Question 70

An analyst gathers the following information about a company's fiscal year beginning on 1 January:

Net income	£1,800,000
Preferred dividends declared and paid	£600,000
Common shares outstanding on 31 December	300,000
Weighted average common shares outstanding during the year	500,000
Convertible preferred shares outstanding during the year	25,000

If one preferred share can be converted into four common shares and there are no other potentially dilutive securities outstanding, reported diluted EPS should be:

A. £2.40.

B. £3.00.

C. £4.00.

Question 71

Which of the following best represents the potential for misaligned interests between shareholders and board directors when director tenures are excessively long?

A. Entrenchment

B. Empire building

C. Excessive risk taking

Question 72

Accounts payable are:

A. financial liabilities owed by a company through a formal loan agreement.

B. amounts a company owes its vendors for purchase of goods and services.

C. reported in a different section of the balance sheet from notes payable due in one year.

Question 73

Under International Financial Reporting Standards (IFRS), reported operating cash flows can be increased by the classification choice made for:

A. dividends paid.

B. interest received.

C. impairment losses on fixed assets.

Question 74

A construction company enters into a 2-year building contract. Payment of the consideration will be at the end of the building contract when all performance obligations are met. Costs incurred provide an appropriate measure of progress towards completing the contract. The construction company has incurred 30% of the costs during the first year. Assuming it is highly probable that revenue will not be subsequently reversed, at the end of Year 1, the construction company should most likely recognize a:

A. receivable.

B. contract asset.

C. contract liability.

Question 75

A company will lease machinery for five years with lease payments of $6,000 to be made at the end of each quarter, with the first payment due in three months. If the interest rate is 6% per year compounded quarterly, the present value of the lease payments is closest to:

A. $101,097.

B. $103,012.

C. $104,557.

Question 76

Which of the following most likely enforces financial reporting requirements?

A. Regulatory authorities only

B. Standard-setting bodies only

C. Both regulatory authorities and standard-setting bodies

Question 77

The following data apply to a firm operating in perfect competition. Quantity Total Revenue Total Cost 21 $210 $138 22 $220 $145 23 $230 $154 24 $240 $165 The firm’s profit maximizing output (in units) is most likely:

A. 21.

B. 23.

C. 24.

Question 78

A central bank is least likely to:

A. implement fiscal policy.

B. oversee the payments system.

C. manage foreign currency reserves.

Question 79

The possibility of new entrants into an industry is considered in the calculation of:

A. the concentration ratio.

B. the Herfindahl–Hirschman index.

C. neither the concentration ratio nor the Herfindahl–Hirschman index.

Question 80

Private companies most likely have:

A. less share price transparency compared to public companies.

B. similar share price transparency as public companies.

C. greater share price transparency compared to public companies.

Question 81

An analyst gathers the following information (in € thousands) about a company:

Purchases from suppliers	9,000
Increase in inventory	1,000
Increase in accounts payable	1,500

Cash paid to suppliers (in € thousands) is:

A. 7,500.

B. 8,000.

C. 8,500.

Question 82

An analyst gathers the following information about the incremental after-tax cash flows (in $ millions) for three independent investments: Year 0 Year 1 Year 2 Year 3 Year 4 Year 5 Investment 1 −80 0 0 60 60 — Investment 2 −125 35 60 80 −20 — 11 into Investment 3 −100 11 11 11 11 perpetuity If the required rate of return (r) is 12%, a company should most likely undertake which investment(s)?

A. Investment 1 only

B. Investment 1 and Investment 2

C. Investment 2 and Investment 3

Question 83

A company spends €10 million on start-up costs that are expensed for accounting purposes and fully amortized over five years using the straight-line method for tax purposes. If the start-up costs will result in future economic benefits, the tax base at the end of Year 1 is:

A. €0 million.

B. €8 million.

C. €10 million.

Question 84

Which of the following lists of terms is ordered from thinner to fatter tails compared with a normal distribution?

A. Mesokurtic, leptokurtic, platykurtic

B. Platykurtic, mesokurtic, leptokurtic

C. Leptokurtic, mesokurtic, platykurtic

Question 85

The archetype of country behavior most likely characterized by globalization and cooperation is:

A. hegemony.

B. bilateralism.

C. multilateralism.

Question 86

With respect to a Porter's five forces analysis, which of the following best describes government policies?

A. They are viewed as a sixth force

B. They are ignored because they affect all companies in the industry

C. They are analyzed to understand how they affect the five competitive forces

Question 87

An analyst gathers the following information (in $ millions) about a company:

Average total assets	50
Average total liabilities	30

The financial leverage ratio is:

A. 0.6.

B. 1.5.

C. 2.5.

Question 88

A primary aim of fiscal policy is to manage the economy through its influence on:

A. real GDP.

B. price stability.

C. interest rates.

Question 89

An analyst gathers the following information about a company:

Before-tax cost of debt	5%
Marginal tax rate	30%
Cost of equity	8%
Target debt-to-equity ratio	50%

The company's WACC is equal to:

A. 5.75%.

B. 6.50%.

C. 7.00%.

Question 90

If the relationship between the dependent variable and independent variable is linear, the regression residuals when plotted against the independent value should appear to:

A. be linear.

B. be random.

C. follow a pattern.